

**Time:** 5 minutes**Outcome:** Identify money's functions, forms, and M1/M2 measurement.**Difficulty:**

Intermediate

Money Functions and Measures



THE CORE IDEA

Money serves as a medium of exchange, a unit of account, and a store of value. As a medium of exchange it facilitates purchases; as a unit of account it provides a common way to quote prices and debts; as a store of value it carries purchasing power into the future. Money-supply measures group liquid assets by how readily they can perform these functions.



HOW TO RECOGNIZE IT

- A medium of exchange is used to buy and sell goods and services.
- A unit of account provides the common measure in which prices and debts are stated.
- A store of value transfers purchasing power from the present into the future.
- For a money-supply measure, classify an asset by its liquidity and the measure's stated definition.



WATCH OUT

A transfer from a checking deposit to a retail money-market fund lowers M1 but leaves M2 unchanged. Checking and savings deposits are included in both under the stated post-2020 definition; retail money-market funds are only in M2.



WORKED EXAMPLE: CLASSIFYING MONEY-SUPPLY MEASURES

U.S. definition used since May 2020

	Amount	In M1?	In M2?
Currency	\$800	Yes	Yes
Checking deposits	\$1,200	Yes	Yes
Savings deposits	\$1,500	Yes	Yes
Retail money-market funds	\$0 here	No	Yes

Currency is \$800, checking deposits are \$1,200, and savings deposits are \$1,500. Under the U.S. definition used since May 2020, savings deposits are included in M1, so $M1 = \$3,500$. With no other M2 components, M2 is also \$3,500. Under the older textbook definition excluding savings from M1, M1 would be \$2,000.



CHECK YOURSELF

Are retail money-market mutual funds included in M1, M2, or both?

**READY?**

Return to the game and master this concept.